

Appendix: Value Proposition Frameworks

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Key Concepts and Frameworks Underpinning the Value Proposition

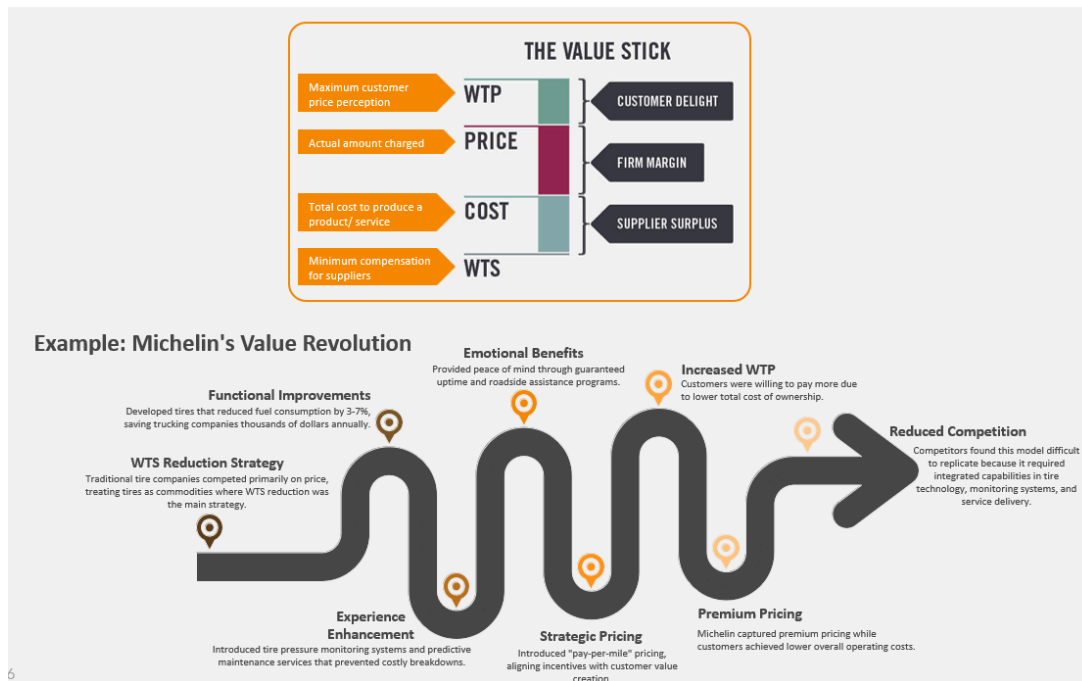


Let's explore the fundamental frameworks that provide the theoretical foundation for creating effective value propositions. These concepts help you understand the mechanics of value creation and guide your strategic choices about how to win in your chosen markets. These frameworks provide complementary perspectives on value proposition design.

Together, they form a comprehensive foundation for creating winning value propositions that customers find compelling and competitors find difficult to imitate. Remember, the most successful value propositions don't just deliver benefits - they create integrated systems of value that become stronger over time and harder for competitors to replicate.

1. The Value Stick Framework

(Better Simpler Strategy, Felix Oberholzer-Gee, 2019)



The Value Stick provides the foundational economic model for understanding all value creation and capture mechanisms in business strategy. As Oberholzer-Gee demonstrates, this framework reveals that strategy is fundamentally simple: companies that achieve enduring financial success create substantial value for their customers, employees, and suppliers.

Core Elements of the Value Stick:

The Value Stick visualises value relationships as a vertical line with four critical components:

- **Willingness-to-Pay (WTP):** The maximum amount customers would pay before choosing alternatives or not buying. This sits at the top of the stick and represents the ceiling of customer value perception.
- **Price:** The actual amount charged, which must fall between WTP and WTS. This determines how value is shared between the company, customers, and suppliers.
- **Willingness-to-Sell (WTS):** The minimum compensation required by employees and suppliers to participate in the value creation process. This sits at the bottom of the stick.

- **Value Created:** The total value generated, measured as the difference between WTP and WTS (the length of the stick). This represents the fundamental economic value the business creates.
- **Value Captured:** How the created value is distributed - customers capture the difference between WTP and Price, while the company captures the difference between Price and WTS.

Strategic Importance for Value Proposition Design:

The Value Stick framework is essential for this module because it provides the only two fundamental ways to create additional value in any business:

1. **Increase Customer WTP** through functional improvements (better performance, features, quality), emotional benefits (status, convenience, peace of mind), or experience enhancements (service quality, ease of use, accessibility)
2. **Decrease WTS** by making work more attractive for employees through better culture and development, or making partnerships more valuable for suppliers through collaboration and better terms

This framework transforms value proposition design from intuitive guesswork into systematic value engineering. Every strategic choice must ultimately contribute to increasing WTP or lowering WTS to create sustainable competitive advantage.

The Complement Effect Principle:

A crucial insight embedded in the Value Stick is that when the price of a complement declines, WTP for your core product increases. This creates strategic opportunities to shift value between complementary offerings and design ecosystem strategies that enhance overall value creation.

Real Example: Michelin's Value Stick Transformation

Oberholzer-Gee describes how Michelin revolutionised the tire industry by fundamentally rethinking the value stick for commercial trucking customers. Traditional tire companies competed primarily on price, treating tires as commodities where WTS reduction was the main strategy.

Michelin recognised that for trucking companies, tire costs represented only a small fraction of total operating expenses, but tire performance dramatically impacted fuel efficiency, maintenance costs, and uptime. They redesigned their value proposition around these broader customer economics:

Increasing Customer WTP:

- **Functional Improvements:** Developed tires that reduced fuel consumption by 3-7%, saving trucking companies thousands of dollars annually

- **Experience Enhancement:** Introduced tire pressure monitoring systems and predictive maintenance services that prevented costly breakdowns
- **Emotional Benefits:** Provided peace of mind through guaranteed uptime and roadside assistance programs

Strategic Pricing Innovation:

Instead of selling tires, Michelin introduced "pay-per-mile" pricing where customers paid based on actual tire usage. This aligned Michelin's incentives with customer value creation - the better their tires performed, the more profitable both parties became.

Results:

- Customer WTP increased dramatically because total cost of ownership decreased despite higher tire prices
- Michelin captured premium pricing while customers achieved lower overall operating costs
- Competitors found this model difficult to replicate because it required integrated capabilities in tire technology, monitoring systems, and service delivery

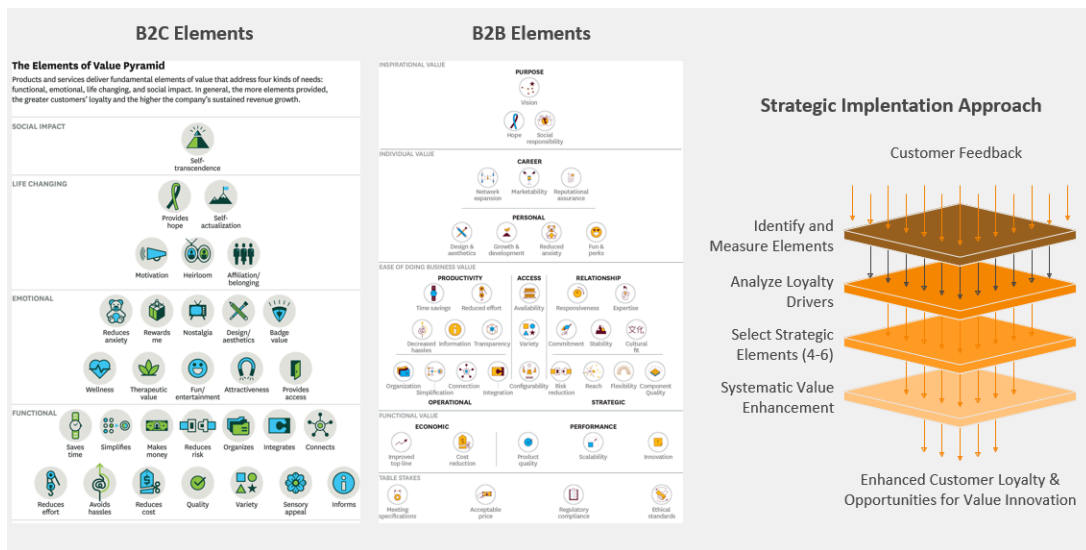
This example demonstrates how the Value Stick framework enables companies to escape commodity competition by systematically redesigning value creation and capture mechanisms. Rather than competing on price alone, Michelin created a new value equation where both they and their customers captured more value.

Framework Application for Value Proposition Strategy:

The Value Stick provides the analytical foundation for every value proposition decision in this module. When designing your eight essential elements, evaluating competitive positioning, or making segmentation choices, the fundamental question remains: "How does this choice increase customer WTP or decrease our WTS?" This framework ensures that value proposition design creates real economic value rather than just marketing differentiation.

2. The Elements of Value Framework

(Almquist, Senior, Bloch & Cleghorn, 2016-2018)



The Elements of Value Framework provides a comprehensive taxonomy of value sources that customers perceive across both consumer (B2C) and business (B2B) markets. This framework enables systematic identification and measurement of value elements that drive customer loyalty and revenue growth, moving beyond intuitive assumptions about what customers value to evidence-based value proposition design.

Core Framework Principles:

The framework organises value elements into hierarchical pyramids that parallel Maslow's hierarchy of needs but apply specifically to customer value perception. Research demonstrates that companies excelling on multiple value elements achieve significantly higher customer loyalty and revenue growth. Companies scoring high on four or more elements had three times the Net Promoter Score and four times the revenue growth compared to companies with only one high score.

Universal Value Insights:

Across both B2C and B2B markets, certain patterns emerge:

- **Quality is foundational:** No other elements can compensate for significant quality shortfalls
- **Multiple elements matter more:** Companies excelling on many elements outperform those focused on few
- **Customer perception differs from stated importance:** What customers say matters often differs from what statistically drives their loyalty
- **Higher-level elements create stronger differentiation:** Emotional and aspirational elements often provide more sustainable competitive advantage than functional ones alone

B2C Elements of Value Framework:

For consumer markets, the framework identifies **30 fundamental value elements** organised into four categories:

Functional Elements (Address practical needs):

- Saves time, reduces cost, simplifies, organises, connects, reduces effort
- Avoids hassles, reduces risk, makes money, provides access
- Quality, variety, sensory appeal, therapeutic value

Emotional Elements (Address personal feelings):

- Reduces anxiety, rewards me, nostalgia, design/aesthetics
- Badge value, wellness, fun/entertainment, attractiveness, provides hope

Life-Changing Elements (Enable personal transformation):

- Self-actualisation, motivation, heirloom, affiliation and belonging

Social Impact Elements (Address societal concerns):

- Self-transcendence

B2C Application Example: Amazon Prime Evolution

Amazon demonstrates systematic multi-element value creation through Prime's evolution:

Initial Focus (2005): Functional elements - *reduces cost* and *saves time* through unlimited two-day shipping for USD 79 annual fee

Expansion Strategy: Systematically added elements:

- *Provides access* and *fun/entertainment* through streaming media
- *Reduces risk* via unlimited photo storage
- *Variety* through expanding product selection
- *Avoids hassles* through one-click ordering and returns

Results: Prime achieved nearly 40% penetration of U.S. retail market, enabling Amazon to raise annual fees to USD 99 while maintaining customer loyalty. Each new element attracted additional customer segments and increased switching costs.

B2B Elements of Value Framework:

For business markets, the framework identifies **40 fundamental value elements** organised into five categories, reflecting the additional complexity of organisational decision-making:

Table Stakes (Prerequisites for consideration):

- Meeting specifications, acceptable price, regulatory compliance, ethical standards

Functional Elements (Address economic and operational needs):

- Cost reduction, improved top line, product quality, scalability, innovation
- Risk reduction, flexibility, component quality, reach

Ease of Doing Business Elements (Enhance operational efficiency and relationships):

- Time savings, reduced effort, availability, responsiveness, expertise
- Decreased hassles, information, transparency, variety, commitment
- Stability, cultural fit, organisation, simplification, connection
- Integration, configurability

Individual Elements (Address personal buyer concerns):

- **Career-focused:** Network expansion, marketability, reputational assurance
- **Personal:** Design & aesthetics, growth & development, reduced anxiety, fun & perks

Inspirational Elements (Address higher-order organisational aspirations):

- Vision, hope, social responsibility, purpose

B2B Application Example: Microsoft Azure Success

Microsoft Azure demonstrates B2B multi-element excellence, achieving the highest Net Promoter Score among IT infrastructure providers by excelling on 20 of 36 elements:

Functional Excellence: *Product quality, scalability, innovation* through continuous platform advancement

Ease of Doing Business: *Time savings, decreased hassles, responsiveness* through automated cloud management, immediate file recovery, and auto-scaling capabilities

Individual Value: *Reduced anxiety* for IT professionals through reliable performance and comprehensive support

Inspirational Value: *Vision* by enabling digital transformation and future-ready architectures

B2B vs B2C Value Distinctions:

While both frameworks share common principles, B2B value creation differs in several key ways:

Decision Complexity: B2B purchases involve multiple stakeholders with different value priorities, requiring elements that address both organisational and individual needs

Risk Sensitivity: Business buyers face higher consequences for poor decisions, making *risk reduction* and *reputational assurance* particularly important

Relationship Intensity: B2B transactions often involve ongoing relationships, making *cultural fit*, *commitment*, and *responsiveness* critical differentiators

Dual Value Creation: B2B offerings must create value both for the organisation (functional and operational) and for individual decision-makers (career and personal)

Industry-Specific Variations:

Value element importance varies significantly by industry context:

B2C Industry Examples:

- **Smartphones:** Quality, reduces effort, variety, organises, connects (multi-functional integration)
- **Food & Beverages:** Quality, sensory appeal, variety, design/aesthetics, therapeutic value
- **Financial Services:** Quality, provides access, heirloom, avoids hassles, reduces anxiety

B2B Industry Examples:

- **IT Infrastructure:** Product quality, expertise, responsiveness, hope, integration, vision
- **Commercial Insurance:** Risk reduction, cost reduction, availability, stability, reduced anxiety
- **Manufacturing Equipment:** Expertise, configurability, reputational assurance, productivity enhancement

Strategic Implementation Approach:

Step 1: Element Identification and Measurement

Survey current customers and prospects to understand which elements your organisation currently delivers and how performance compares to competitors. Use 0-10 rating scales for consistency.

Step 2: Statistical Analysis of Loyalty Drivers

Analyse correlations between element performance and customer loyalty metrics (Net Promoter Score, repurchase likelihood, customer lifetime value) to identify which elements truly drive business results versus those customers merely say are important.

Step 3: Strategic Element Selection

Choose 4-6 elements for excellence based on:

- Statistical impact on customer loyalty
- Alignment with organisational capabilities
- Differentiation opportunity versus competitors
- Resource requirements for delivery

Step 4: Systematic Value Enhancement

Develop integrated approaches to deliver chosen elements through:

- Product/service design modifications
- Process improvements
- Experience enhancements
- Communication strategy alignment

Framework Application for Value Proposition Strategy:

The Elements of Value Framework provides the systematic methodology for identifying, measuring, and prioritising specific value sources that matter most to your target customers. When designing your eight essential value proposition elements, use this framework to ensure you're addressing value dimensions that statistically drive customer loyalty rather than relying on assumptions about what customers want. The framework also reveals opportunities for value innovation by identifying under-served elements that competitors neglect but customers value highly.

3. The Three Value Disciplines Framework

(Customer Intimacy and Other Value Disciplines, Treacy & Wiersema, 1993)



The Three Value Disciplines Framework provides one of the most influential models for understanding how companies achieve market leadership through focused excellence. Based on extensive research of 40 companies that redefined performance expectations in their markets, Treacy and Wiersema discovered that market leaders typically excel in one of three distinct value disciplines while meeting industry standards in the other two.

Core Framework Principles:

The New Rules of Competition: Market leaders operate under four fundamental rules that have replaced traditional competitive approaches:

1. **Provide the best offering** in the marketplace by excelling in one specific dimension of value
2. **Maintain threshold standards** on other dimensions of value to remain viable
3. **Dominate your market** by improving value year after year in your chosen discipline
4. **Build a superior operating model** dedicated to delivering that specific value proposition

Customer Value Segmentation: Different customers fundamentally seek different types of value, and this segmentation is more predictable than previously understood. Customers primarily want one of three value types: best product (performance/uniqueness), best total solution (personalised service), or best total cost (price plus convenience).

The Value-Performance Link: Companies that focus all their assets, energies, and attention on delivering one type of customer value can nearly always deliver better performance in that dimension than companies that divide their attention among multiple value types.

The Three Value Disciplines:

1. Operational Excellence

Definition: Providing customers with reliable products or services at competitive prices and delivered with minimal difficulty or inconvenience. Companies pursuing operational excellence are indefatigable in seeking ways to minimise overhead costs, eliminate intermediate production steps, reduce transaction and friction costs, and optimise business processes across functional and organisational boundaries.

Strategic Characteristics:

- Focus on price and convenience as primary value drivers
- Optimise entire business systems for efficiency and reliability
- Eliminate hassles and reduce customer effort throughout the value chain
- Build operations around information systems that emphasise integration and low-cost transaction processing
- Create cultures focused on discipline, standardisation, and continuous improvement

Dell Computer Example: Dell revolutionised the PC industry by focusing not on the product but on the delivery system. By selling directly to customers, building to order rather than inventory, and creating an extremely low-cost culture, Dell undercut competitors while providing high-quality products and service. Dell's operational excellence model enabled faster delivery, lower costs, and better customer service than traditional dealer-based distribution systems.

2. Customer Intimacy

Definition: Segmenting and targeting markets precisely and then tailoring offerings to match exactly the demands of specific niches. Companies that excel in customer intimacy combine detailed customer knowledge with operational flexibility so they can respond quickly to almost any need, from customising products to fulfilling special requests.

Strategic Characteristics:

- Focus on customer lifetime value rather than single transaction profitability
- Build infrastructure that facilitates multiple modes of producing and delivering products/services
- Invest heavily in understanding individual customer needs and preferences
- Create organisational structures that empower front-line employees to respond to customer requirements
- Develop information systems that collect, integrate, and analyse customer data from multiple sources

Home Depot Example: Home Depot clerks spend whatever time is required with customers to figure out which product will solve their home-repair problem. The company's business strategy is built around customers' needs for information and service, not just inexpensive products. Individual service is Home Depot's forte - clerks help customers understand their options, recommend solutions, and ensure they get exactly what they need, whether the purchase is \$59 or 59 cents.

3. Product Leadership

Definition: Offering customers leading-edge products and services that consistently enhance the customer's use or application of the product, thereby making rivals' goods obsolete. Product leaders strive to produce a continuous stream of state-of-the-art products and services through creativity, rapid commercialisation, and relentless pursuit of new solutions.

Strategic Characteristics:

- Focus on innovation, creativity, and time-to-market as competitive advantages
- Build organisations that encourage new ideas regardless of source ("not invented here" is not in their vocabulary)
- Emphasize speed in decision-making and commercialisation (better to make wrong decisions quickly than right decisions slowly)
- Create entrepreneurial environments that attract and retain innovative talent
- Develop risk management capabilities that enable large investments in uncertain outcomes

Nike Product Leadership: Nike excels in product leadership in sport shoes by continuously pushing performance boundaries through innovation in materials, design, and technology. The company invests heavily in research and development, partners with elite athletes to test cutting-edge concepts, and rapidly commercialises innovations that enhance athletic performance while making competitors' products obsolete.

Strategic Implementation Insights:

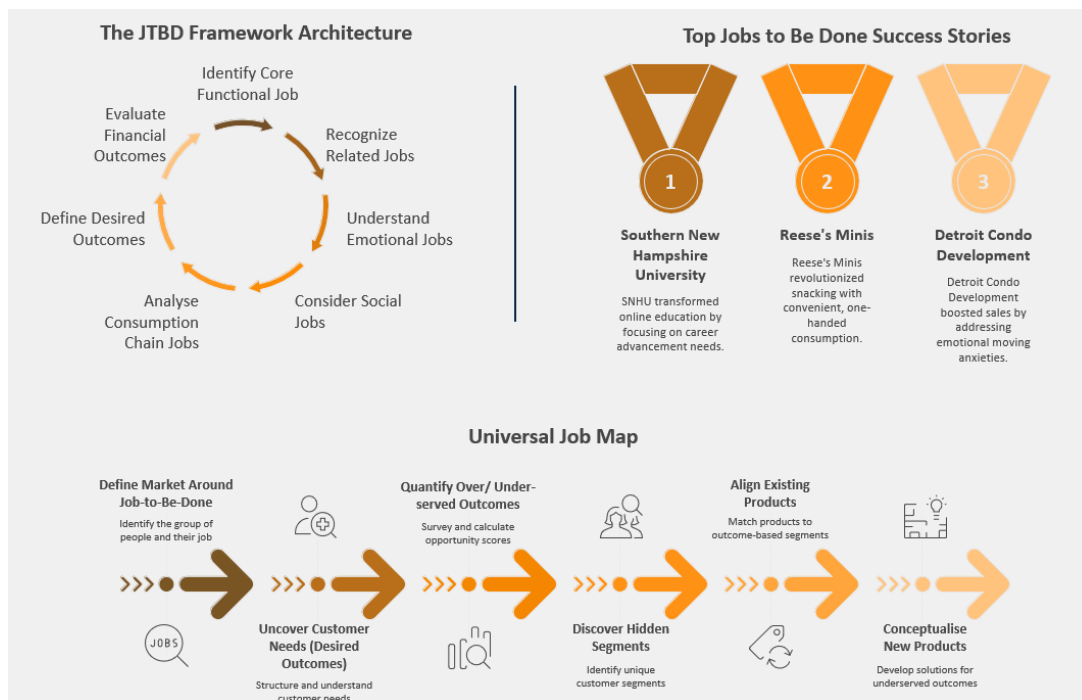
The Choice Is Also Customer Choice: When companies choose a value discipline, they simultaneously select the category of customers they will serve. The choice of business discipline and customer category is actually a single strategic decision, as different customer segments define value differently.

Organisational DNA Similarity: Companies pursuing the same value discipline have remarkable similarities regardless of industry. Federal Express, American Airlines, and Wal-Mart have strikingly similar business systems because they all pursue operational excellence. An employee could transfer between these companies and feel at home after orientation.

Mastery of Two Disciplines: While rare, some companies successfully master two disciplines by resolving inherent tensions between different operating models. Toyota combines operational excellence with product leadership. USAA masters both customer intimacy and operational excellence. Staples excels at both operational excellence and customer intimacy through different approaches to different market segments.

4. The Jobs to Be Done Framework

(*Know Your Customers' "Jobs to Be Done"*, Clayton Christensen, 2016; *Outcome-Driven Innovation*, Anthony Ulwick, 1991)



The Jobs-to-Be-Done (JTBD) framework revolutionises innovation by shifting focus from customer demographics to the underlying progress customers are trying to make in specific circumstances. This framework transforms innovation from a hit-or-miss endeavour into a predictable process by understanding the causal drivers behind customer choices.

Core JTBD Theory:

The fundamental insight is that customers don't buy products—they "hire" them to get a job done. When a product does the job well, customers hire it again. When it fails, they "fire" it and look for alternatives. This perspective reveals that correlation-based customer data (demographics, psychographics) fails to capture causation—the actual reasons behind purchase decisions.

The JTBD Framework Architecture:

Jobs-to-Be-Done encompasses multiple interconnected dimensions that must be understood holistically:

- **Core Functional Job:** The primary task customers are trying to accomplish (e.g., "prepare a hot beverage for consumption")
- **Related Jobs:** Secondary jobs that support the main job (e.g., "clean up after beverage preparation")
- **Emotional Jobs:** How customers want to feel during job execution (confident, relaxed, energized)
- **Social Jobs:** How customers want to be perceived by others (sophisticated, environmentally conscious, efficient)
- **Consumption Chain Jobs:** Jobs related to acquiring, using, and disposing of solutions
- **Desired Outcomes:** Customer-defined performance metrics for measuring success at each job step
- **Financial Outcomes:** Economic considerations throughout the job execution process

Defining Jobs Correctly:

The most critical step is defining the job at the right level of abstraction. Too narrow limits growth opportunities; too broad creates non-actionable insights. The Universal Job Map breaks all jobs into eight fundamental steps: Define → Locate → Prepare → Confirm → Execute → Monitor → Modify → Conclude.

Key JTBD Principles:

- **Jobs are stable, solutions change:** People have hired entertainment for millennia, but means evolved from live performances to radio to television to streaming
- **Circumstances matter more than customer characteristics:** A 64-year-old Harvard professor buying the New York Times isn't driven by his demographics but by specific situational needs
- **Jobs have functional, emotional, and social dimensions:** Beyond task completion, customers seek experiences that make them feel confident, connected, or accomplished
- **Competition is defined by the job, not product categories:** Morning milkshakes compete with bananas, energy bars, and coffee—anything that provides sustenance during commutes

Comprehensive Case Studies:

Detroit Condo Development (Bob Moesta):

A construction company targeting downsizers struggled with sales despite focus groups requesting features like bay windows. JTBD interviews revealed the real barrier: anxiety about giving up dining room tables loaded with family memories. The insight: "We're in the moving business, not the building

business." Solution included moving services, two years of storage, and space for dining tables. Results: 25% growth during a 49% industry decline, \$3,500 price increase.

McDonald's Morning Milkshakes (Clayton Christensen):

80% of milkshakes sold before 8:30 AM puzzled McDonald's. Traditional analysis found no demographic patterns. JTBD research revealed customers hired milkshakes for long, boring commutes—they're caloric, delicious, and take time to consume. Competition wasn't other milkshakes but bananas, bagels, and coffee. The job: "Help me stay awake and occupied during my morning commute."

Southern New Hampshire University (Paul LeBlanc):

Online students (average age 30) had different jobs than traditional students (age 18-22). Traditional students hired college for "coming of age experiences." Online students hired SNHU to "step up their careers" with four key needs: convenience, customer service, credentials, and speed. SNHU redesigned everything around this job—8.5-minute response times, personal advisors, streamlined financial aid. Results: From 500 to 130,000+ online students, revenue from 109M to 1.2B, 9.6/10 NPS score.

Reese's Minis (Hershey's):

Traditional peanut butter cups were "fired" in situations requiring one-handed consumption (driving, gaming, crowded spaces). Original cups were too messy; smaller cups required two hands to unwrap and left guilt-inducing foil trails. Reese's Minis solved the job with no foil wrapping and resealable packaging for easy one-handed access. Result: \$235 million in first two years.

Outcome-Driven Innovation Process:

Step 1: Define Market Around Job-to-Be-Done

- Market = "Group of people + job they're trying to get done"
- Provides stability (jobs don't change), accurate competition definition, and protection against disruption

Step 2: Uncover Customer Needs (Desired Outcomes)

- Structure: "Direction of improvement + Performance metric + Object of control + Contextual clarifier"
- Example: "Minimise the time it takes to get songs in desired order for listening"
- Characteristics: Measurable, controllable, stable over time, solution-free

Step 3: Quantify Over/Under-served Outcomes

- Survey 180-3,000 customers on importance and satisfaction for each outcome
- Calculate opportunity scores to prioritise underserved (high importance, low satisfaction) and overserved (low importance, high satisfaction) outcomes

Step 4: Discover Hidden Segments

- Outcome-based segmentation reveals customers with unique sets of unmet needs
- Example: 30% of circular saw users had 14 unmet outcomes due to specific job complexities (finish cuts, angle adjustments)

Step 5: Align Existing Products

- Match current offerings to outcome-based segments
- Communicate strengths using outcome-based value propositions
- Example: Coloplast wound care promoted "prevent complications" rather than "heal faster"

Step 6: Conceptualise New Products

- Address underserved outcomes through new features, partnerships, acquisitions
- Goal: Create solution that gets entire job done on single platform

Identifying JTBD Opportunities:

1. **Look for Nonconsumption:** Where people aren't using any solution (SNHU's older learners)
2. **Observe Workarounds:** Customers cobbling together makeshift solutions (small businesses using personal Quicken for accounting led to QuickBooks)
3. **Find Negative Jobs:** Tasks people want to avoid (long ER waits led to CVS MinuteClinics)
4. **Discover Surprising Uses:** NyQuil used for sleep (not colds) led to ZzzQuil
5. **Notice Switching Patterns:** When and why customers change solutions

JTBD for Value Proposition Design:

The framework transforms value proposition development by:

- **Revealing True Competition:** Understanding all alternatives customers consider, not just direct competitors
- **Identifying Emotional Dimensions:** Beyond functional benefits to how customers want to feel
- **Uncovering Hidden Segments:** Groups with unique job circumstances requiring different value propositions
- **Guiding Feature Prioritisation:** Focus resources on outcomes that matter most to target segments

- **Enabling Predictive Innovation:** Test concepts against known underserved outcomes before development

Framework Application for Strategy:

Jobs-to-Be-Done provides strategic clarity by:

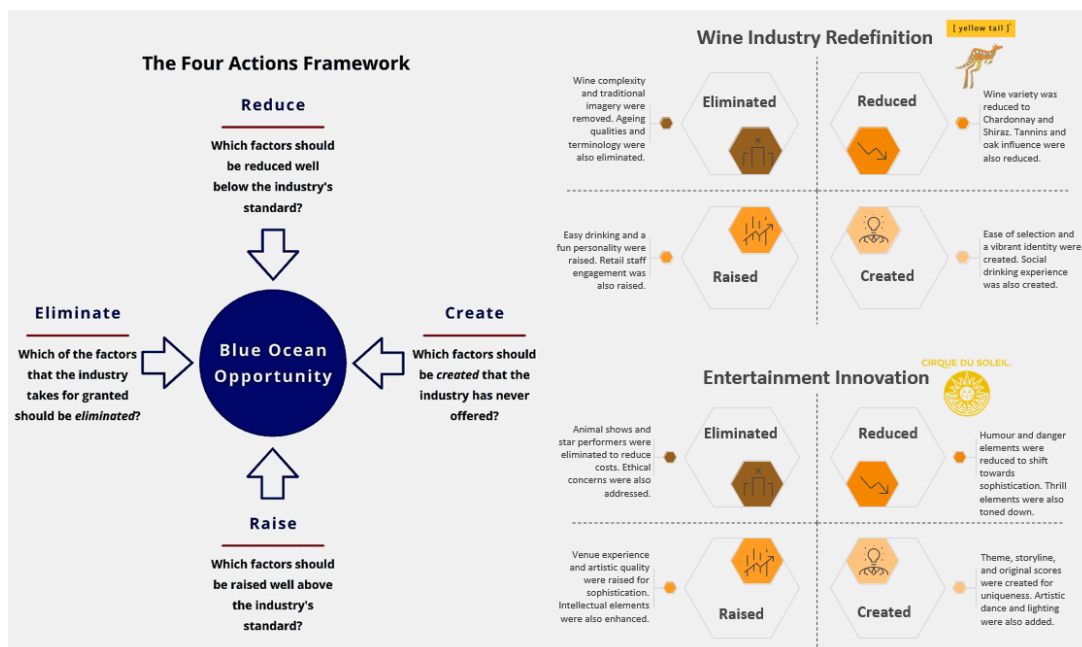
- **Market Definition:** Stable, long-term focus around customer jobs rather than changing technologies
- **Innovation Direction:** Clear targets for product development based on underserved outcomes
- **Competitive Strategy:** Understanding true competitive landscape across job alternatives
- **Customer Segmentation:** Grouping customers by job circumstances rather than demographics
- **Growth Opportunities:** Identifying adjacent markets where similar jobs exist

The JTBD framework's power lies in making innovation measurable and predictable by focusing on the causal mechanisms behind customer choice, transforming strategy from intuition-based to insight-driven decision making.

This framework fundamentally reframes value proposition thinking by focusing on the progress customers seek to make in specific circumstances rather than traditional demographic or product-based segmentation.

5. The Four Actions Framework

(Blue Ocean Strategy, Kim & Mauborgne, 2005)



Blue Ocean Strategy revolutionises competitive thinking by shifting focus from competing within existing market boundaries to creating uncontested market space through value innovation—the simultaneous pursuit of differentiation and low cost. This framework challenges the fundamental strategic assumption that companies must choose between differentiation and cost leadership.

Core Value Innovation Principle:

The framework breaks the value-cost trade-off by recognising that buyer value comes from utility and price, while company value comes from price and cost structure. Value innovation is achieved when the entire system of utility, price, and cost activities is properly aligned. This whole-system approach makes value innovation strategic rather than operational, requiring companies to orient their entire system toward achieving a leap in value for both buyers and themselves.

The Four Actions Framework:

To reconstruct buyer value elements and craft a new value curve, the framework poses four key questions that challenge an industry's strategic logic and business model:

1. Eliminate: Which factors that the industry takes for granted should be eliminated?

This question forces companies to consider eliminating factors they have long competed on but no longer create value or may even detract from it. Often these factors are taken for granted even though there has been a fundamental change in what buyers value. Companies focused on benchmarking competitors fail to perceive or act on these changes.

2. Reduce: Which factors should be reduced well below the industry's standard?

This question determines whether products or services have been overdesigned in the race to match and beat competition. Companies often overserve customers, increasing cost structure for no gain. This reveals where industries have created unnecessary complexity and cost.

3. Raise: Which factors should be raised well above the industry's standard?

This question pushes companies to uncover and eliminate compromises their industry forces customers to make. It identifies where the industry underserves customers and where significant value can be unlocked by exceeding current performance levels.

4. Create: Which factors should be created that the industry has never offered?

This question helps discover entirely new sources of value for buyers, create new demand, and shift the strategic pricing of the industry. It forces companies to look beyond existing industry boundaries for inspiration.

Strategic Logic Behind the Framework:

The first two questions (eliminate and reduce) provide insight into dropping cost structure versus competitors. Research shows that managers rarely systematically eliminate and reduce investments in competitive factors, resulting in mounting costs and complex business models. The second two questions (raise and create) provide insight into lifting buyer value and creating new demand.

Of particular importance are eliminating and creating actions, which push companies beyond value maximisation with existing competitive factors. These actions change the factors themselves, making existing rules of competition irrelevant.

The Eliminate-Reduce-Raise-Create (ERRC) Grid:

The ERRC Grid is a supplementary analytical tool that pushes companies to act on all four dimensions simultaneously. The grid provides four immediate benefits:

1. **Breaks Value-Cost Trade-off:** Forces simultaneous pursuit of differentiation and low costs
2. **Flags Overengineering:** Identifies companies focused only on raising and creating, thereby lifting costs and overengineering offerings
3. **Creates Engagement:** Easily understood by managers at any level, generating high engagement
4. **Drives Scrutiny:** Completing the grid challenges companies to examine every competitive factor, revealing unconscious assumptions

Comprehensive Case Studies:

[Yellow Tail] Wine Revolution:

Casella Wines created the fastest-growing wine brand in both Australian and US history by redefining the wine industry problem from "how to make complex, prestigious wine" to "how to make fun, easy-to-drink wine for everyone."

- **Eliminated:** Wine complexity, ageing qualities, oenological terminology, vineyard prestige, traditional wine imagery
- **Reduced:** Wine variety (started with only 2: Chardonnay and Shiraz), tannins, oak influence, technical jargon
- **Raised:** Easy drinking characteristics, approachability, fun personality, retail staff engagement
- **Created:** Ease of selection, Australian adventure personality, vibrant visual identity, social drinking experience

Results: Became #1 imported wine in the US, surpassing French and Italian wines, with 4.5 million cases annually within two years. Grew the market by attracting beer and cocktail drinkers to wine, with no promotional campaign initially.

Cirque du Soleil Entertainment Innovation:

Cirque du Soleil created a new form of live entertainment by looking across the boundary between circus and theatre, eliminating the declining circus industry's cost structure while capturing theatre's sophisticated appeal.

- **Eliminated:** Animal shows (high cost, ethical concerns), star performers (expensive, low impact), multiple show arenas (viewer confusion, high performer costs), aisle concession sales (poor customer experience)
- **Reduced:** Humour and danger (shifted from slapstick to sophisticated), thrill and danger elements
- **Raised:** Unique venue experience (glamorised tents), artistic performance quality, intellectual sophistication
- **Created:** Theme and storyline, multiple productions, original musical scores, artistic dance, theatrical lighting

Results: Achieved both differentiation and low cost, pricing tickets at theatre levels (several multiples above traditional circus) while dramatically reducing cost structure through elimination of expensive elements.

Value Innovation vs. Technology Innovation:

Value innovation differs from technology innovation by focusing on value rather than technology. Many technology innovations are incremental improvements that reinforce existing competitive positions without creating new market space. Value innovation makes competition irrelevant by changing the competitive factors themselves.

Framework Application for Value Proposition design:

The Four Actions Framework transforms value proposition development by:

- **Revealing Hidden Assumptions:** Exposing industry conventions that no longer create value
- **Enabling Systematic Innovation:** Providing structured approach to value curve reconstruction
- **Breaking Trade-offs:** Showing how to achieve differentiation and low cost simultaneously
- **Creating New Demand:** Unlocking value for noncustomers who currently avoid the industry
- **Simplifying Strategy:** Focusing efforts on factors that matter most to target buyers

The framework's power lies in making innovation systematic and predictable by providing clear methodology for reconstructing market boundaries and creating uncontested market space.

Companies using this approach can break free from competitive benchmarking and create their own strategic space where competition becomes irrelevant.

Thank you for your attention. In our next module, we'll explore how to translate your value proposition choices into organisational reality through the Operating Model components of the Strategy in Action Canvas.